Monetary Authority of Singapore

FINANCIAL ADVISERS ACT 2001 ("FAA"), INSURANCE ACT 1966 ("IA") AND SECURITIES AND FUTURES ACT 2001 ("SFA")

FREQUENTLY ASKED QUESTIONS ("FAQs") ON THE MISCONDUCT REPORTING REQUIREMENTS UNDER THE FAA, IA AND SFA

(Effective 1 January 2027)

Disclaimer: These FAQs are meant to provide guidance to the industry on MAS' policy and administration of the FAA, IA and SFA. They do not constitute legal advice. MAS expects industry participants to retain their independent legal counsel to advise them on how their business operations should be conducted in order to satisfy legal and regulatory requirements, and to advise them on all applicable laws, rules and regulations of Singapore.

(I) Reportable Misconduct

1 What are examples of misconduct committed by representatives or broking staff that financial institutions ("FIs") must report to MAS under the following Notices (henceforth collectively referred to as the "Misconduct Reporting Notices"):

(a) FAA-N27 Notice on Reporting of Misconduct of Representatives by Financial Advisers

(b) MAS 508 Notice on Reporting of Misconduct of Broking Staff by Insurance Brokers and of Representatives by Accident and Health Insurance Intermediaries

(c) SFA 04-N24 Notice on Reporting of Misconduct of Representatives by Holders of Capital Markets Services Licence and Exempt Persons

The Misconduct Reporting Notices set out the following reportable misconduct categories:

Misconduct Reporting Notices	Reportable misconduct categories
FAA-N27	Any act or omission in the provision of any financial advisory service which amounts to gross negligence or which results in any inappropriate advice, inappropriate recommendation, misrepresentation, or inadequate disclosure of information to a client, including: (i) the making of a recommendation to a client without due consideration as to the client's investment objectives, financial situation or particular needs; (ii) the making of a deceptive, false or misleading statement to a client; or (iii) the failure to disclose to a client all material information relating to any designated investment product recommended by the representative, as specified in MAS Notice FAA-N03 Notice on Information to Clients and Product Information Disclosure, where the act or omission has a materially adverse impact on the interests of the client or impinges on the fitness and propriety of the representative.

MAS 508	Any act or omission in the performance of any insurance broking activity or accident and health insurance intermediary activity which amounts to gross negligence or which results in any inappropriate advice, inappropriate recommendation, misrepresentation, or inadequate disclosure of information to a client, including: (i) the failure to exercise due care and diligence in understanding and satisfying the insurance requirements of the client or take all reasonable steps to act fairly in the interests of the client; (ii) the making of a deceptive, false or misleading statement to a client; or (iii) the failure to make adequate disclosure of all facts and information for the client to make an informed decision, where the act or omission has a materially adverse impact on the interests of the client or impinges on the fitness and propriety of the broking staff or representative.
SFA 04-N24	Any act relating to any contravention of the market conduct provisions under Part 12 of the SFA, such as involvement in prohibited conduct or insider trading as set out in Part 12 of the SFA.
FAA-N27, MAS 508, SFA 04-N24	Any act involving fraud, dishonesty, illegal monetary gains, or any offence of a similar nature, such as cheating, forgery, dishonest misappropriation of monies, criminal breach of trust, bribery, money laundering and tax evasion.

FIs may use the following guiding principles to determine whether an act is a misconduct that is reportable to MAS:

(a) Actual and potential detriment to the client or customer (henceforth collectively referred to as "client") and/or the FI;

(b) Actual and potential number of clients impacted;

(c) Wilfulness of the representative or broking staff;

(d) Sufficiency of care and diligence exercised; and

(e) Impact to the financial industry's reputation, integrity and interest.

Table 1 below further sets out examples (non-exhaustive) to illustrate the factors that FIs should take into account when determining if an act constitutes misconduct that needs to be reported to MAS.

Table 1: Examples (non-exhaustive) to illustrate reportable misconduct

Examples	Is this a reportable misconduct?	Reportable category that the misconduct falls under
Failure to satisfy a specific criterion in the Fit and Proper Guidelines. For example: (A) Being subject to a debt-repayment scheme with a bank (B) Being a director of a business that has entered insolvency	Not reportable for both (A) and (B) in the absence of aggravating factors. For clarity, the failure to satisfy a specific criterion in the Fit and Proper Guidelines does not automatically render the representative or broking staff not fit and proper to conduct regulated activities under the FAA, IA or SFA.	N/A
Data confidentiality- related incidents[1]. For example: (A) Accessing the FI's Information Technology systems without authorisation to obtain confidential client information for personal benefit (B) Sending a client's personal details to a personal email account for convenience	For (A), yes, as the representative or broking staff acted dishonestly for personal gain. For (B), not reportable in the absence of aggravating factors, as the representative or broking staff committed the act out of convenience (i.e. without malicious intent) and it was an isolated incident involving only one client.	For (A), 'Any act involving fraud, dishonesty, illegal monetary gains, or any offence of a similar nature, such as cheating, forgery, dishonest misappropriation of monies, criminal breach of trust, bribery, money laundering and tax evasion'. For (B), N/A.
Breach of the FI's compliance rules on staff dealing. For example:	For (A), yes, as the breach was committed with the intent of benefiting the representative and/or manipulating the market.	For (A), depending on the facts and circumstances, to report as: • 'Any act involving fraud, dishonesty, illegal monetary gains, or any offence of a similar

[1] For data confidentiality-related breaches, FIs will additionally need to assess the need to refer the case to other relevant authorities (e.g. Personal Data Protection Commission).

(A) Executing trades without a client's authorisation to earn commissions or to corner the market (B) Inadvertently failing to declare personal investment holdings to the FI	For (B), not reportable in the absence of contravention of the market conduct provisions under Part 12 of the SFA.	nature, such as cheating, forgery, dishonest misappropriation of monies, criminal breach of trust, bribery, money laundering and tax evasion'; and/or • 'Any act relating to any contravention of the market conduct provisions under Part 12 of the SFA, such as involvement in prohibited conduct or insider trading as set out in Part 12 of the SFA'. For (B), N/A.
General conduct. For example: (A) Traffic offence (e.g. hit and run) (B) Inappropriate workplace behaviour (e.g. use of offensive/discriminatory language)	Not reportable for both (A) and (B) in the absence of aggravating factors, as these acts were carried out in the representative's or broking staff's personal capacity, did not result in any client detriment, and would be unlikely to undermine the representative's or broking staff's professional integrity and ability to conduct regulated activities.	N/A
Other dishonest acts. For example: (A) Falsifying client information in transport claims (B) Being unable to support an expense claim due to the misplacement of a receipt (C) Being charged in court for collusion with a third party to obtain illegal monetary gains	For (A), yes, as the breach was committed with the intent of benefiting the representative or broking staff by wilfully falsifying information. For (B), not reportable in the absence of aggravating factors, as the act was due to oversight and was a one-off incident. For (C), yes, in the absence of mitigating factors, being charged in court would typically suggest that the law	For (A), 'Any act involving fraud, dishonesty, illegal monetary gains, or any offence of a similar nature, such as cheating, forgery, dishonest misappropriation of monies, criminal breach of trust, bribery, money laundering and tax evasion'. For (B), N/A. For (C), 'Any act involving fraud, dishonesty, illegal monetary gains, or any offence of a similar nature, such as cheating, forgery,

	enforcement agency had obtained sufficient evidence to show that an offence had been committed. In addition, the act committed falls within the reportable categories as the representative or broking staff was dishonest and obtained illegal monetary gains.	dishonest misappropriation of monies, criminal breach of trust, bribery, money laundering and tax evasion'.

2 What factors should be considered in the assessment of "gross negligence" and "materially adverse impact on the interests of the client"?

Under FAA-N27 and MAS 508, FIs are required to report misconduct under the following reportable misconduct categories:

(a) any act or omission in the provision of any financial advisory service which amounts to *gross negligence* or which results in any inappropriate advice, inappropriate recommendation, misrepresentation, or inadequate disclosure of information to a client where the act or omission has a *materially adverse impact on the interests of the client* or impinges on the fitness and propriety of the representative [FAA-N27];

(b) any act or omission in the performance of any insurance broking activity or accident and health insurance intermediary activity which amounts to *gross negligence* or which results in any inappropriate advice, inappropriate recommendation, misrepresentation, or inadequate disclosure of information to a client where the act or omission has a *materially adverse impact on the interests of the client* or impinges on the fitness and propriety of the broking staff or representative [MAS 508].

Under the balanced scorecard ("BSC") framework of the FAA, FIs are required to review the quality of their representatives' financial advisory services to identify instances of infractions that are due to "gross negligence" or which result in "materially adverse impact on the interests of the client". The BSC framework also sets out examples of Category 1 infractions which would constitute misconduct that should be reported to MAS under this category.

Table 2 below further sets out factors (non-exhaustive) to consider in assessing whether an act is of "gross negligence" or has "materially adverse impact on the interests of the client".

Table 2: Factors (non-exhaustive) to consider in assessing "gross negligence" and "materially adverse impact on the interests of the client"

Gross negligence	Materially adverse impact on interests of client
In assessing "gross negligence", factors to consider include: • whether the act was reckless or was conducted without reasonable care; • whether it was a repeated act.	In assessing "materially adverse impact on the interests of the client", factors to consider include: • actual or potential monetary loss to clients; • actual or potential number of clients impacted; • profile of clients impacted; • duration of the misconduct.

3 Can failures in supervisory oversight by a representative acting in a supervisory capacity constitute reportable misconduct?

Yes. A representative acting in a supervisory capacity may have committed a reportable misconduct if, in relation to the provision of financial advisory services by a representative under his or her supervision, he or she fails to exercise proper supervisory oversight, or acts in a manner, that:

(a) results in, or contributes to, a reportable misconduct by the representative under his or her supervision; or

(b) impinges on his or her own fitness and propriety regardless of whether any reportable misconduct by the representative under his or her supervision has occurred.

Example 1:
A supervisor approves a fact-find form submitted by a representative under his or her supervision despite an apparent absence of a reasonable basis for the recommendation, which ought reasonably to have been identified through proper supervisory oversight. The supervisor's failure to exercise proper supervisory oversight contributed to the representative's reportable misconduct, namely the making of an inappropriate recommendation to the client. In doing so, the supervisor shares culpability for the resulting materially adverse impact on the client's interests.

Example 2:
A supervisor consistently or systematically fails to discharge his or her supervisory duties, such as by repeatedly failing to oversee the conduct of representatives under his or her supervision, or ignoring red flags or complaints raised about such representatives. Such conduct may impinge on the supervisor's fitness and propriety, regardless of whether a representative under his or her supervision has committed a reportable misconduct.

Example 3:
A supervisor instructs, encourages or influences a representative under his or her supervision to provide false or misleading information to a client. Such conduct may impinge on the supervisor's fitness and propriety. It may also result in, or contribute to, a reportable misconduct by the representative.

The supervisor's conduct may itself be reportable under the misconduct category covering any act or omission in the provision of any financial advisory service that amounts to gross negligence, or which results in inappropriate advice, inappropriate recommendations, misrepresentations, or inadequate disclosure of information to a client, where the act or omission has a materially adverse impact on the interests of a client or impinges on the fitness and propriety of the representative.

4 Are FIs required to report misconduct identified through mystery shopping exercises ("MSEs") to MAS?

Whether a wrongdoing is reportable depends on the nature and severity of the act or omission, rather than the channel through which the misconduct is uncovered.

FIs should assess each MSE finding holistically, having regard to the relevant facts and circumstances, to determine whether it falls within a reportable misconduct category. Where it does, the misconduct must be reported to MAS.

The absence of an actual sale or consumer detriment does not, in itself, mean that the conduct is not reportable.

5 How should FIs handle misconduct committed by their representatives or broking staff?

The onus is on FIs to establish and certify that their representatives or broking staff are fit and proper to conduct regulated activities on an ongoing basis.

For any misconduct committed by their representatives or broking staff, FIs will need to holistically consider the facts and circumstances of the incident, and assess:

(a) the appropriate disciplinary action to take, whether to lodge a police report, and the need to put in place proper monitoring mechanisms and additional controls, where applicable;

(b) whether to report the misconduct to MAS; and

(c) where the circumstances render the representatives or broking staff no longer fit and proper, whether the FI should cease the appointment of that individual as a representative or broking staff.

6 Are FIs required to report misconduct that is not substantiated?

For Misconduct Reports, FIs should report only misconduct that is substantiated.

For an Investigation Report submitted in relation to a Misconduct Report, FIs should report all allegations investigated and findings made in respect of the representative or broking staff for whom a Misconduct Report has been filed, together with the outcome (i.e. substantiated, unsubstantiated, inconclusive or under investigation).

(II) Updates to Misconduct Report or Investigation Report

7 What are examples of significant developments that should be reported to MAS following the submission of a Misconduct Report, Investigation Report or Update Report[2]? What types of events would not constitute significant developments?

FIs should refer to the Misconduct Reporting Notices for examples (non-exhaustive) of events that constitute significant developments requiring the submission of an Update Report.

In addition to the examples set out in the Misconduct Reporting Notices, other examples of significant developments that are reportable to MAS include:

(a) Where an FI states in the Misconduct Report that no disciplinary action has been taken because the disciplinary action is under deliberation, the subsequent determination of that disciplinary action; and
(b) Remedial measures taken by the FI to improve its controls in response to the misconduct.

Examples (non-exhaustive) of events that do **not** constitute significant development and need not be reported to MAS as an update include:

(a) Learning of the name of the investigating police officer after submission of the Investigation Report.

For clarity, the Investigation Report should include the name of the investigating police officer if this information is available at the time of submission and where a police report has been lodged. However, if the officer's name was not available during submission but becomes known later, the subsequent availability of this information will not constitute a significant development.

[2] "Update Report", as defined in the Misconduct Reporting Notices, means a report on any update to a Misconduct Report or an Investigation Report which is submitted in accordance with paragraph 4 of the Misconduct Reporting Notices.

(b) Commencement of subsequent investigation following a Misconduct Report submission.

FIs are required to submit a Misconduct Report when they have reasonable grounds to believe that misconduct has been committed. In most cases, an Investigation Report is submitted simultaneously with the Misconduct Report, as the reasonable grounds are typically established upon concluding an investigation.

Where an FI commences a further investigation after submitting both the Misconduct Report and Investigation Report, the mere commencement of that investigation will not constitute a significant development. Similarly, in very limited circumstances where a Misconduct Report was not accompanied by an Investigation Report, the subsequent commencement of an investigation will not constitute a significant development.

However, the findings of this new or further investigation may constitute new reportable misconduct and/or amount to a significant development requiring further reporting, depending on the circumstances of each case.

(c) The provision of Misconduct Reports or Update Reports to representatives or broking staff.

The provision of a Misconduct Report or Update Report to a representative or broking staff is not a significant development, as this is already a requirement under the Misconduct Reporting Notices.

(d) The carrying out of a disciplinary action where the disciplinary action has already been reported in the Misconduct Report.

Where an FI has already reported in the Misconduct Report the specific disciplinary action to be taken, the subsequent implementation of that disciplinary action will not constitute a significant development.

8 What should an FI do if, after the submission of a Misconduct Report, it discovers or new evidence surfaces that some or all of the reported misconduct did not occur?

The FI should submit an Update Report to remove any misconduct previously reported but subsequently found to be unsubstantiated, or withdraw the entire Misconduct Report if all reported misconduct is found to be unsubstantiated.

MAS expects such situations to occur only on an exception basis, as FIs are required to have reasonable grounds to believe that misconduct was committed prior to submitting a Misconduct Report. MAS also expects FIs to have considered and addressed the representative's or broking staff's submissions and appeals as part of their investigation process prior to any Misconduct Report submission.

Where misconduct is subsequently found to be unsubstantiated and the previous Misconduct Report is withdrawn, FIs need not disclose in their reference check responses that a Misconduct

Report had been filed and subsequently withdrawn. This ensures fair treatment of representatives or broking staff where misconduct is ultimately not established.

9 Can FIs update Misconduct Reports that were submitted prior to 1 January 2027 after the new submission system takes effect?

Yes. FIs may update Misconduct Reports submitted prior to 1 January 2027 through the new submission system.

(III) Submission of Misconduct Report and Investigation Report

10 When should an FI submit a Misconduct Report?

The Misconduct Reporting Notices require FIs to submit a Misconduct Report to MAS no later than 21 calendar days after the date on which the FIs first have reasonable grounds to believe that a misconduct has been committed.

To establish reasonable grounds that misconduct has been committed, MAS expects FIs to conduct a robust investigation based on a holistic and fair evaluation of the available information. This may include interviewing relevant parties (such as involved representatives or broking staff, supervisors and clients), and reviewing relevant transactions and other documentary records. MAS also expects FIs to have considered and addressed the representative's or broking staff's submissions and appeals as part of their investigation process prior to any Misconduct Report submission. Accordingly, in most cases, FIs would have completed their investigations before submitting a Misconduct Report to MAS.

(IV) Provision of Misconduct Report (including subsequent updates) to Representatives or Broking Staff

11 Do FIs need to provide representatives or broking staff with a copy of the Misconduct Report and all subsequent updates to the Misconduct Report?

The Misconduct Reporting Notices require FIs to provide representatives or broking staff with a copy of the Misconduct Report no later than 21 calendar days after submission to MAS. FIs must also provide representatives or broking staff with a copy of each Update Report no later than 21 calendar days after submission to MAS.

While FIs should obtain an acknowledgement of receipt where feasible, other documentary records such as email correspondence or proof of mailing, demonstrating that a copy of the Misconduct Report or Update Report was provided to the representative or broking staff, are acceptable. FIs are expected to make reasonable attempts to contact the representatives or broking staff using their last known contact details and maintain proper records of the actions taken.

FIs are also expected to exercise reasonable care and implement appropriate safeguards to ensure that the Misconduct Reports and Update Reports are provided only to their intended recipients.

(V) Prescribed Misconduct and Investigation Reports

12 When will MAS share the finalised Misconduct and Investigation Report templates?

MAS is refining the Misconduct and Investigation Report templates, incorporating feedback received during user testings of the Misconduct and Investigation Report webforms with selected industry participants. MAS aims to publish the finalised templates in the third quarter of 2026.

(VI) Annual Declaration of Nil Return of Misconduct of Representatives or Broking Staff

13 Are FIs required to submit to MAS a declaration of nil return of misconduct of representatives or broking staff for the calendar year ended 31 December 2026?

No. MAS does not require FIs to submit a declaration of nil return of misconduct of representatives or broking staff for the calendar year ending 31 December 2026, notwithstanding the requirement under paragraph 6 of the following Notices:

- FAA-N14 Notice on Reporting of Misconduct of Representatives by Financial Advisers
- MAS 504 Notice on Reporting of Misconduct of Broking Staff by Insurance Brokers
- SFA 04-N11 Notice on Reporting of Misconduct of Representatives by Holders of Capital Markets Services Licence and Exempt Financial Institutions

Under the Misconduct Reporting Notices, which take effect on 1 January 2027, FIs are not required to submit to MAS a declaration of nil return of misconduct of representatives or broking staff.